

26VECV00918 26VECV00918

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-09-22

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Case Number: 26VECV00918 Hearing Date: September 22, 2026 Dept: T

26VECV00918 Mercuro v Ateshyan

[TENTATIVE]

ORDER: Defendants Simon Ateshyan and Coast One Financial Group's Motion for Judgment on the Pleadings against Portions of the First Amended Complaint is GRANTED WITH 20 DAYS LEAVE TO AMEND as to the sixth and eighth causes of action and otherwise DENIED.

Introduction

Defendants Simon Ateshyan (Ateshyan) and Coast One Financial Group (Coast One) (collectively, Defendants) moved for judgment on the pleadings against portions of Plaintiff Michael-Vincent Mercuro's (Plaintiff) First Amended Complaint (FAC). Defendants plead into issue the first cause of action (COA) for breach of contract, the second COA for fraudulent inducement, the fourth COA for promissory estoppel, the fifth COA for breach of fiduciary duty, the sixth COA for civil theft (Pen. Code, sec. 496(c)), the seventh COA for defamation/slander per se, the eighth COA for intentional infliction of emotional distress (IIED), and the ninth COA for quantum meruit.

[Defendant's motion contains an error. Defendant mistakenly cited to "Code Civ. Proc., sec. 3301". (Mtn pg. 8:1.) The correct citation is Civ. Code sec. 3301, as pointed out by Plaintiff's Oppo.]

Discussion

Defendants argued that Plaintiff lacks standing to bring the first COA for breach of contract, the second COA for fraudulent inducement, the fourth COA

for promissory estoppel, the fifth COA for breach of fiduciary duty, and ninth COA for quantum meruit because the claims belong to non-party BAM Assets LLC (BAM). Defendants asserted that is the real party in interest because BAM suffered the alleged injury. Defendant asserted that Plaintiff's damages are the \$100,000.00 payment and the extension of \$250,000 line of credit. (FAC pars. 26–27, 80, 87(a), 102(a), 109(b).) However, the argument is based upon an incorrect reading of the facts alleged in the FAC. Plaintiff expressly alleged that these COAs are grounded upon an oral agreement between Plaintiff and Defendants to form and operate BAM. Plaintiff alleged that the failure of Defendants to invest the startup capital of \$100,000 and the failure to extend the \$250,000 line of credit is the breach. (FAC pars. 24-29, 79-82, 87, 102, 107, and 132-133.) The injury Plaintiff claims is not the payment of \$100,000 and not the extension of a \$250,000 line of credit. Plaintiff's claimed injury is losses resulting from the failure to form BAM – loss of income, reputational harm, unreimbursed expenses, and exposure to personal liability for business expenditures. (FAC pars. 85, 90 104, and 110.) Plaintiff's claim for damages under the ninth COA for quantum meruit was the time and effort expended in trying to set up BAM when the parties were under the belief that BAM would become fully operational. (FAC par. 133.) Because Defendants' argument is grounded upon a misinterpretation of the claims and injuries alleged by Plaintiff, the standing argument is unpersuasive.

Defendants' motion against the first COA for breach of contract, the second COA for fraudulent inducement, the fourth COA for promissory estoppel, the fifth COA for breach of fiduciary duty, and ninth COA for quantum meruit is DENIED.

Defendants then argue that the contract-based COAs failed to plead sufficient facts as to enforceable contract. Defendants assert that Plaintiff's allegations admit that no written operational agreement was ever finalized or executed. (FAC pars. 62-66.) Again, Defendants argument is based upon a misinterpretation of the facts alleged. The contract that is at issue is not the unsigned written operational agreement but the oral joint venture agreement to form BAM. (FAC pars. 26-29.) Defendants' first argument that there was no finalization of the written operational agreement is unpersuasive because the argument is placing into dispute the wrong agreement.

Defendants asserted that the terms of the agreement are too indefinite to

enforce. However, the facts alleging the terms of the oral agreement are definitive. Plaintiff expressly alleged that Defendants were obligated to contribute their funds and a line of credit but failed to do so. The allegations are sufficient to plead definitive terms of the oral contract. Further, the allegations do not allege an agreement to come to a future agreement. The allegations sufficiently plead Defendants' obligations – payment and extension of credit. The argument is not persuasive.

Defendants asserted that Plaintiff's damages of lost income, loss of promised equity, and the loss of anticipated fruits of a business that never started are speculative. Preliminarily, a demurrer does not lie as to only a claim for relief where some valid claim is alleged. (*Caliber Bodyworks, Inc. v. Superior Court* (2005) 134 Cal.App.4th 365, 384.) The potential speculative nature of lost profits is not proper grounds for demurrer. Further, Defendants' argument is based upon a narrow reading of the allegations. Plaintiff's damages are not limited to lost profits or equity. Plaintiff expressly alleged his out-of-pocket expenses and the time/effort expended in trying to get BAM up and running. Plaintiff sufficiently alleged facts to support his damages. The argument is not persuasive.

Defendants' motion against the contract-based COAs is DENIED.

Ateshyan, only, argued that the sixth COA for civil theft per Penal Code, section 496 failed to allege sufficient facts as to any theft by Ateshyan. However, the analysis below applies to the sixth COA as alleged against both Ateshyan and Coast One. The Court applied Ateshyan's arguments to an overall review of the sixth COA.

A claim for treble damages and attorneys' fees for "receiving stolen property" per Penal Code, sec. 496(a) and (c) must plead: (1) that defendant bought or received property that was stolen or that was obtained in any manner constituting theft or extortion; (2) that defendant knew the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained; (3) that plaintiff was harmed; and (4) that defendant's conduct was a substantial factor in causing plaintiff's harm. (Code Civ. Proc., sec. 496(a), cf. CACI no. 1930.) Under the first element, facts must be alleged to show that Defendant obtained property through theft or

obtained property in any manner constituting theft. The fact allegations regarding property “stolen” from Plaintiff is Plaintiff’s purchase of the office furniture/equipment and Plaintiff’s payment of \$500.00 related to the U-Haul truck rental, which is admittedly part of the start-up costs in the joint venture of BAM. (FAC pars. 54-57, 67-75, 113-114.) Specific to the allegations related to “theft” or a “manner constituting theft” of the \$500.00 and office furniture and equipment, Plaintiff alleged that Ateshyan authorized Plaintiff to use the Coast One credit card to pay for expenses related to the joint venture, which included the renting of the U-Haul truck and purchasing office furniture/equipment. The rental truck was to be used to transport the office furniture/equipment. (FAC pars. 31-35, 55, and 113.) However, after a dispute between Plaintiff and Ateshyan arose regarding the execution of the BAM operating agreement (FAC pars. 62-66), Ateshyan reversed the charges on Coast One’s credit card and claimed to the credit card company that the charges were fraudulent and/or never authorized. The reversal of charges involved the charges for the rental truck and office furniture/equipment. (FAC pars. 70-74 and 115.) Due to the reversal of charges for the rental truck and the office furniture/equipment, Plaintiff allegedly paid \$500.00 to U-Haul. (FAC par. 75.)

At minimum, the events alleged describe a business dispute between Plaintiff and Defendants related to their joint venture and the joint venture’s business expenses. Whether Plaintiff sufficiently alleged enough facts to plead that Defendants’ conduct amounted to a “manner constituting theft” and/or that property was stolen is at issue. Plaintiff argued that Defendants’ conduct amounted to false pretense to get Plaintiff to pay for the truck and the office furniture/equipment. Plaintiff argued that the false pretense/fraudulent diversion of Plaintiff’s money is proper grounds to allege the theft by Defendants because Defendants first authorized the use of their credit card and then fraudulently claimed that the credit card use was unauthorized or fraudulent to their credit card company. In support, Plaintiff cited to *Siry Investments, L.P. v. Farkhondehpour* (2022) 13 Cal.5th 333 (Siry).

The Siry

Case presented facts to show that a fraudulent diversion of the partnership’s revenue by the general partner/defendant resulted in a fraudulent decline/withholding in distributions to the plaintiff/limited partner. It was this fraudulent decline/withholding of distributions to the plaintiff/limited partner that was the fraudulent taking/theft from the plaintiff/limited partner. The Siry Court opined that the taking of the distributions under

false pretense by the defendant/general partner was a taking in the “manner constituting theft” per Penal Code, section 496(a). The Siry case involved the theft by false pretense of money (i.e., partnership distributions). In the instant action, Plaintiff failed to allege any facts to show that Defendant received any of the property (i.e., \$500.00 or office furniture/equipment) or that Defendant knew the property to be stolen or obtained through theft/false pretense or knew that the property was concealed or withheld from Plaintiff. The alleged facts only show that Defendants reneged on the payment of a business expense (i.e., the rental truck and office furniture/equipment). Due to Defendants' withdrawal of their credit card charge, Plaintiff was allegedly forced to expend his own personal funds to pay for the \$500.00 business expense. This fact does not allege that Defendants took, stole, withheld, or concealed anything from Plaintiff since Plaintiff is part of the joint venture. In the Siry Case, the concealment or withholding was well established because the general partner fraudulently concealed the true revenues of the partnership and thus withheld the true distributions owed to the limited partner. Plaintiff's allegations are insufficient to show that Defendant received, bought, concealed, sold, or withheld Plaintiff's money, whether by false pretense or not. Further, the alleged fraud/false pretense to Defendants' credit card company to withdraw the charges did not result in any receipt of Plaintiff's monies by Defendants, like in Siry wherein the defendant/general partner withheld and took possession of plaintiff/limited partner's distributions. The only loss to Plaintiff is that he had to pay U-Haul to replace the withdrawn payment by Coast One. The allegations do not rise to the level of a theft by false pretense and only alleges facts to show the payment of a business expense for the joint venture.

Plaintiff additionally alleged that the property taken by false pretense theft was Plaintiff's services. (FAC par. 116.) Plaintiff disputes that the COA is grounded upon any theft of labor or services. In that Plaintiff disclaims that the property allegedly stolen was any labor or service, the argument is moot. To the extent that the COA is alleged on services, the definition of “property” in the Penal Code does not include labor. (*Lacagnina v. Comprehend Systems, Inc.* (2018) 25 Cal.App.5th 955, 969.) Thus, any allegation that the property stolen is services cannot be grounds for the COA.

Because this is the Court's first review of the sufficiency of the pleadings, the Court grants Plaintiff leave to amend and cure the pleading

defects identified above.

Ateshyan's motion against the sixth COA is GRANTED WITH LEAVE TO AMEND.

Coast One argued separately against the sixth COA and asserted that reverse piercing is not permitted. (Postal Instant Press, Inc. v. Kaswa Corp. (2008) 162 Cal.App.4th 1510, 1513.) Coast One asserted that Plaintiff's only allegation against Coast One on this COA is the alter ego liability claim. (FAC par. 117.) Plaintiff does not dispute the legal theory but argued that the allegations against Coast One are grounded upon its own wrongful conduct and not solely on alter ego. Plaintiff cited the allegation that each Defendant authorized, ratified, or actively participated in the acts. (FAC pars. 4 and 9.) To allege Coast One's wrongful conduct, Plaintiff argued that Coast One allowed Plaintiff to use their business credit card and argued that there is an issue as to whether Coast One authorized, ratified, participated in, or benefited from those acts. However, the authorized or unauthorized use of Coast One's credit card, in and of itself, is not wrongful conduct. Whether Coast One authorized or ratified or participated in the act also does not show the wrongfulness of Ateshyan's use of the card. Lastly, Coast One taking on the debt of the joint venture is not, in and of itself, an act that would benefit Coast One. Plaintiff's arguments to plead around the prohibition as to reverse piercing are unpersuasive.

Coast One's motion against the sixth COA is GRANTED WITH LEAVE TO AMEND.

Defendants asserted that the seventh COA for defamation/slander per se is insufficiently supported by fact allegations because there are insufficient facts to allege any prior business dealings, existing or prospective, with the vendors that could have been injured by the defamatory statements. Defendants asserted that the damages are speculative. However, special damages are not required to be alleged for slander per se claims. Plaintiff expressly alleged a slander per se claim because the allegations are based upon accusations of criminal activity – fraudulent use of Coast One's credit card and theft of Coast One's credit card. Slander per se claims assume actual damages without proof of actual harm. (Civ. Code, sec. 48a(d)(1).) Defendants' argument as to the speculative nature of Plaintiff's damages is unpersuasive.

Defendants' motion against the seventh COA is DENIED.

Defendants asserted that the IIED COA failed to allege facts to plead extreme and outrageous conduct and facts to plead severe emotional distress. However, the allegations that support the defamation COA (i.e., credit card fraud and theft – FAC par. 127.c. and d.) are sufficient to plead extreme and outrageous conduct. Defendants' characterization of the allegations regarding credit card fraud as a business deal is unpersuasive. However, the allegations as to severe emotional distress are lacking. Plaintiff only alleged "anxiety, humiliation, and reputational trauma". (FAC par. 129.) The allegations, without more, are insufficient to allege distress "of such substantial quantity or enduring quality that no reasonable man in a civilized society should be expected to endure it." (Fletcher v. Western National Life Ins. Co. (1970) 10 Cal.App.3d 376, 397.) Plaintiff's IIED COA failed to plead sufficient facts as to severe emotional distress.

Defendants' motion against the eighth COA for IIED is GRANTED WITH LEAVE TO AMEND.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.